E-branding strategies of internet companies: Some preliminary insights from the UK

Received: 12th April, 2005

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Abstract

This study explores the e-brand building and communication strategies of a small sample of UK-based internet companies, including a few with significant international brand profiles. It contributes by providing rare empirical insights into the e-branding phenomenon, which complement the extant, mainly anecdotal, best practice literature. Analysis results suggest a widespread appreciation of the importance of e-branding, and a prevalence of collaborative and customer-centric e-brand building strategies, including co-branding and affiliating with established online and offline brands, distribution partnerships, content alliances and personalised e-mail contacts. The examined internet companies also seem to have employed a variety of traditional, offline methods and leading-edge online tools in communicating their key e-brand values and promoting their online platforms and offerings. These communication vehicles included newspapers, radio, magazines, television, public relations, trade events and promotions, personalised e-mail notifications, affiliate programmes with other websites and banner advertisements. It further emerged that a few of the study companies had taken major steps towards internationalising their e-brands, and had responded appropriately to the concomitant localisation/adaptation challenges. The managerial and future research issues raised by these preliminary findings are discussed.

INTRODUCTION

Although commercial internet has been around for over a de1cade, and a vast amount of practitioner and scholarly literature on internet marketing activities of firms has accumulated,[1–4] relatively little empirical work has been undertaken on the branding strategies of internet companies.[5,6] From a global branding perspective the international aspects of such e-branding activities have received even less systematic research attention.

Traditionally, branding is associated with creating value through the provision of a compelling offer and customer experience that keep satisfied customers coming back.[7–10] This explains its dominant perception

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as a source of company-wide benefits, including enhanced competitiveness, differentiated corporate/products/services' profile, increased equity and greater customer loyalty.[11–13] Companies that excel in creating favourable emotional associations with their customers, through effective branding, typically gain a strong market share and an enhanced and sustainable competitive advantage, which generally provide a firm basis for future growth.[14–17] It is arguably the case, however, that the advent of the internet technology, with its implications for increased efficiencies, intensified competition and low barriers to entry, enhanced customer power, transparent but excessive information flow and over-stretched customers' cognitive capacities,[18–21] has raised new questions regarding the importance of branding and what might represent effective brand building and communication strategies in the online environment.

Two divergent views have emerged in regard to the former question. According to one school of thought, the internet essentially undermines e-branding and leads to a decline in brand appeal, by making search and comparison much easier, encouraging greater price transparency and enabling consumers to use online search tools to shop efficiently for products they prefer.[22] Proponents of e-branding, however, argue that the need for e-branding is greater than ever. In their view, internet companies need to embrace online branding even more strongly as a means of redressing the balance of power in the highly competitive internet marketplace, which is highly skewed in favour of the increasingly fickle and less loyal online customers.[23] Both views are probably right. In the absence, therefore, of a greater level of guidance from previous research, the present study aims to examine internet companies' perceptions of e-branding.

Regarding e-brand building strategies, it is arguable that the transformational impact of the internet, as indicated in the last but one paragraph, has revolutionised the competitive landscape and brand building environment within which companies operate. This, according to Kenney and Curry,[24] has left internet firms blindly groping for strategies that might work. The need for effective communication of the internet company's existence, unique selling proposition and brand promise has, therefore, never been greater.[25] Yet e-brand communication appears to be too often neglected, with most internet companies, including high-tech ones (these would rather invest in product development than in communication[26] and small and medium-sized enterprises generally lacking the requisite experience and knowledge of marketing communications.[27,28] It seems necessary, therefore, to seek greater understanding of how internet companies might effectively promote their e-brands and communicate their key brand values.

Taken together, the key objectives of the present study were to examine the extent to which e-branding is perceived as important among internet companies, and identify the e-brand building and communication strategies — online and offline — dominantly employed by these firms. Another major objective was to explore the international dimensions of such e-branding activities. Answers were, thus,

sought for the following questions: Is e-branding important? Why? Do the traditional benefits of branding still apply in the digital world? What strategies — online and offline — have been employed by internet companies to build e-brands and communicate their key e-brands' values? Are e-brands synonymous with global brands?

The remainder of this paper is structured as follows. The second section presents a brief review of the previous literature on branding, internet marketing and e-branding. The third section follows with some explanation of the research methodology. In the fourth section, the study's findings are presented and discussed, with appropriate references to the previous literature. The final section outlines the main conclusions of the study and puts forward a number of recommendations for e-brand management and future research.

LITERATURE REVIEW

This paper's review of the previous literature is organised around the focal issues outlined above, ie the importance of e-branding, e-brand building and communication strategies, and international e-branding.

The importance of branding and e-branding

Branding has been characterised as the process of creating value through the provision of a compelling and consistent offer and customer experience that will satisfy customers and keep them coming back.[29–32] As customers develop trust in the brand through satisfaction of use and experience, companies have the opportunity to start building relationships with them, strengthening the brand further and making it more difficult for competitors to imitate.[33–35] Brand leaders usually have the financial strength to fend off competitors, and potential competitors are usually reluctant to enter the market if existing brands satisfy customers. Brands, therefore, enable a company to establish a unique identity and to increase the opportunity of attracting a large amount of repeat business. Companies with a history of strong brands are likely to maintain greater control over the balance of power between them and customers,[36,37] and command a higher market share and premium price against generic, unbranded, equivalents. Strong, successful brands, thus, shift the competitive framework in the company's favour, giving it intangible, difficult to replicate, values with which to augment its more basic product, price and distribution benefits.[38,39] They also provide an economy of scale to the company and provide it with a springboard from which to launch additional associated products and/or services.[40]

Although branding has attracted considerable research attention,[41–43] its role and contribution to business performance have remained contentious.[44] The latter point also reflects the situation with e-branding. Despite the vast sums of money invested in online advertising and e-brand building (some internet start-ups reportedly spent several times their annual sales revenue at the height of the dot.com frenzy in an attempt to establish a dominant presence in the internet's crowded marketplace),[45] opinions have remained polarised

among researchers and practitioners in regard to the value of e-branding. While many commentators[46,47] have predicted the demise of e-brands, others[48,49] have argued that success on the internet is all about branding. The former contend that brands have little to contribute in the internet marketplace and may, indeed, not be sustainable owing to the level of price transparency associated with the internet medium, the increasing availability, through a few effortless keystrokes, of sophisticated search engines and product-comparison tools, and the ease with which a plethora of comparable products/services and willing sellers can be accessed online.[50]

Those who advocate the importance of e-branding[51–55] argue that bolstering and strengthening a company's online brand is critical in the highly competitive online market. Berry,[56] for example, suggests that strong e-brands increase customers' trust of physically unseen products or services, while helping them to visualise and understand better what they are buying. Carpenter's[57] (pp. 1–2) remarks are particularly telling:

> 'The extraordinary growth in the number of sites to choose from has caused confusion and frustration for the average internet user. In an environment characterised by extreme choice, perplexed customers will turn to the familiar. They will establish relationships with specific internet brands and do business with them repeatedly … As the number of companies online multiplies, the increased choice will strengthen customer/company relationships — not weaken them — for those organisations that have built premier internet brands. Power is flowing to those companies with brand cachet.'

Dayal *et al.*[58] seem to share the above view, arguing that to succeed online companies will have to create fully-fledged internet businesses, or digital brands, that can provide familiarity, reassurance and intimacy. This makes sense given that customers are inundated with a myriad of similar offerings to choose from, and overwhelmed by conflicting marketing messages.[59] Having only limited cognitive resources and time availability, they attempt to minimise information overload by applying mental shortcuts, a particularly effective one of which is e-branding;[60] this serves to reduce complexity and information processing time, as well as enhance relationship trust between customers and companies.[61] According to a study by Cheskin Research,[62] brand is at the top of the list of six marketplace fundamentals for building and maintaining trust on the internet; others are navigability, fulfilment, presentation, technology and seals of approval.

Branding and e-brand building strategies

Few would dispute the view that the internet has had varying degrees of transformational impact on businesses, from traditional companies to online start-ups.[63–67] New opportunities of efficiency and coordination are emerging, competition is intensifying and barriers to entry are eroding. New technologies and emerging market trends are converging to shift power from companies to customers. Organisations are having to redefine their business strategies with regard to marketing and branding due to the unique characteristics of the internet and its capacity to overturn the old rules of the game. Traditionally, a brand is thought to evoke, in

the customer's mind, a certain personality, presence and product or service performance.[68,69] In addition to providing added values, a brand can represent a substitute for information — a way for consumers to simplify the time-consuming process of search and comparison before deciding what to buy.[70,71] The advent of the internet technology, particularly its implications for real-time interaction and marketplace crowding, has, however, made branding more complex and dynamic. Many online businesses are, thus, searching for new e-brand building strategies that might assist them in creating some distinctiveness and engaging their customers.[72]

Previous research has identified a number of differences between online and offline branding. These relate to speed of execution (today's e-branding projects get off the ground within six weeks, whereas traditional branding engagements typically require six months[73,74]); interactivity (online branding is not only faster than offline branding but also more interactive[75]); marketing and sales convergence (the internet is both a marketing medium and a sales channel); the importance of trust and relationships (trust seems even more important in the virtual world than it is in the real world, because the parties to an e-transaction are not in the same place, and therefore cannot depend on things like national laws, physical proximity, handshakes and body signals[76,77]); and customer loyalty challenges (e-branding extends beyond the traditional focus of positioning, advertising, promotions, catchy logos and slogans, to creating internet businesses that can deliver complete, and completely satisfying, experiences[78]).

To enhance their prospects of achieving successful e-branding, companies have been urged to embrace a number of strategies. These include: establishing an online brand as quickly as possible to gain first-mover advantages;[79] undergoing a systematic process of understanding, attracting, engaging, retaining and learning about target customers;[80] going beyond generating awareness for their sites to a greater focus on developing trust and relationships through an improved 'click-to-order' ratio (from the current 1.0 to 1.5 per cent) and repurchase rates;[81,82] building stronger relationships through targeting customers with unique messages, unique functionality and unique personalisation techniques; delivering a quality product/service experience; having a unique positioning concept and strong communication programme; ensuring consistent delivery of the brand promise;[83,84] enhancing the total brand experience; and surrounding customers with superior market presence.[85]

Research suggests that, in the internet space, traditional attributes like product selection and price drive brand equity and e-loyalty to a lesser extent than a positive customer online experience.[86–89] As functional benefits (eg product features and quality) become commodities that can be replicated easily, process and relationship benefits increasingly drive purchase decisions and word of mouth.[90] These benefits are interlocking elements that reinforce one another to create a total, high-impact customer online experience, which is a key source of added value in the internet economy. AT Kearney[91] characterised the creation of a high-impact online customer experience as encompassing seven

dimensions, including building a community, making connectivity easy, delivering compelling content, customising the experience, embedding convenience, enhancing customer care and communication. Pearson[92] further proposed the CARES (Contact, Affinity Rewards, Extra value and Services) framework as a route to achieving enhanced customer relationships in the internet environment. Overall, a competitive site can be ensured best by maximising each customer's experience — across all points of contact (or touch points) — in a way that delivers the brand's promise.

Brand communication strategies

Considerable overlap appears to exist between e-brand building and communication strategies. The literature identifies the latter as encompassing a broad range of offline and online tools, including mass media advertisements, banner advertisements, e-mail marketing, registration with main portals, affiliation programmes, co-branding, sponsorship arrangements and exclusive tenancy on a site.[93,94] Building online trust and providing a satisfying end-to-end online customer experience are critical for companies aiming to foster e-customer loyalty.[95–98] This is certainly no mean feat for internet companies given the vast amount of information available on the web and the limited cognitive capabilities and attention filters of online target groups.[99] For these companies, the challenge lies not so much in the factual development of new products and services, but in communicating the company's mere existence, its unique selling proposition and its brand promises.[100] The fact that product quality cannot be physically ascertained before e-transactions[101] suggests the need for internet companies to return to the fundamental principles of brands and brand-related communications, as promises and signals of quality. Research also suggests the importance of effective online branding and communication in enabling companies to gain better understanding of their target customers' perceptions regarding their brands. As McWilliam[102] noted, the more communication and interaction, the better the feedback.

International e-branding

The globally accessible nature of websites has meant that e-brands or online brands are viewed in some quarters as indistinguishable from international or global brands. This offers potentially important growth opportunities for those internet companies, like Amazon.com, E-bay, Yahoo etc, which might possess the capabilities to translate their worldwide web presence into successful global e-brands.[103,104] Among the successful global e-branding techniques ascribed to these leading dot.coms are setting up lively online communities for generating worldwide 'buzz' and using an internationalised domain name or a series of standardised domain names (eg fr.yahoo.com, uk.yahoo.com) to build worldwide brand recognition.[105] The literature also suggests that adaptation/localisation imperatives are as valid in marketspace as they are in the physical international environment, since language, symbols, colours and preferences often do not

translate across different countries and cultures.[106,107]

METHODOLOGY

Consistent with the exploratory nature of the present study, its data generation process involved a mixture of quantitative and qualitative methods[108] implemented over three phases. This blend of quantitative and qualitative approaches reflects the need to capture the essential 'reality' of the phenomena under investigation, ie e-branding strategies and their international dimensions.

The first, qualitative phase took the form of a preliminary online group discussion with a self-selecting sample of international consumer respondents (seven individuals, from China, the UK, the USA, Germany and India, who responded to the researchers' invitations posted to the globally accessible Yahoo! chat room. This online interchange was undertaken to obtain an initial *feel* on consumers' perceptions of e-branding and its international dimensions, and it lasted for approximately 60 minutes.

The next phase was quantitative, and it involved the design and administration of questionnaires on an appropriately selected sample of UK-based internet companies. The design of the survey instrument largely reflected the relevant best practice, as embodied in Dillman's[109] total design method (TDM). More specifically, the substantive content benefited from previous relevant literature on e-branding and the earlier mentioned online group discussion; the instrument was pre-tested for ease and clarity of understanding; and an appropriate cover letter and pre-paid return envelope were enclosed. The UK Company Directory (a database of UK internet companies) provided the sample frame for the survey; the sampling population eventually comprised 80 UK-based companies with significant internet presence and brand profiles. The decision to limit the sample size to the indicated figure was informed by time and cost considerations. Questionnaires were directly posted to appropriate key informants within the selected companies,[110] with follow-up e-mails sent as necessary. Overall, the survey effort generated a response rate of 19 per cent; this is low, but not unusual particularly for surveys involving organisational populations.[111]

The third phase of the data collection process, another qualitative approach, involved an in-depth case study of four of the surveyed companies. This phase entailed a review of the questionnaires completed and returned by the focal internet companies, and relevant secondary and archival material, including industry/company reports and websites. This yielded a lot of useful background information, and in some cases invaluable insights to the issues explored by the study. Also undertaken in this phase were brief telephone interviews with key informants[112] within the case study companies, aimed at filling observed gaps and clarifying and triangulating the data obtained from the other sources. Attempt was made to minimise the shortcomings associated with the key informant technique,[113] by targeting only those officials deemed most likely to possess an appropriate level of knowledge regarding the issues of interest in the present study. An appropriate interview guide was employed for these

telephone interviews, an initial draft of which had to be revised to meet more effectively recommended best practice, including the use of open-ended questions to stimulate free-ranging conversation, while skilfully steering the discussion in a semi-structured fashion.[114] Appropriate notes were taken during the interviews and later reviews of the transcripts did not reveal any meaningful differences with the attributions and interpretations contained in this paper.[115] The above-described integration of qualitative, case-based insights can be justified based on their widely appreciated benefits, in terms of data richness, depth and quality; this arguably compensates for the limited size of the present study's sample.[116,117]

Finally, the study's quantitative and qualitative data were respectively subjected to simple frequency tests (deemed appropriate for summarising survey data[118]) and content analysis (widely considered a valid method of obtaining an objective and systematic description of the manifest content of qualitative data[119–122]). The particular form of content analysis adopted was the meaning-oriented analysis, as it allowed the researchers to focus on the underlying themes of the observed data, matching appropriate content with pre-formulated research questions, and using exact quotes and vignettes as necessary to interpret the study findings.[123–125]

FINDINGS AND DISCUSSION

The findings presented and discussed below are based on the analysis of completed questionnaires from 15 internet companies, and further case-based evidence from four internet companies. The surveyed companies belonged to the retail, travel, entertainment, energy and financial service industries. Thirteen were 'internet only' companies while two were 'clicks and mortar' operations. Most were small to medium-sized companies which had operated their online businesses for one to two years — the time of this study. The background characteristics of these company respondents are presented in Table 1, below.

The four case study companies were chosen based on the observed success of their e-branding strategies and the perceived richness/variety of insights that they offer into the phenomena of interest in this study: e-branding perceptions, e-brand building and communication strategies, and their international aspects. To protect the requested anonymity of the case companies, each was assigned one of the first four letters of the alphabet, A to D. As can be seen from Table 2, below, Company A was a provider of online travel and entertainment solutions launched in the UK in October 1998. It quickly became one of the most visited e-commerce sites in Europe, generating massive increases in its registered subscriber base and turnover. Company B was a clicks and mortar health and beauty products and services retailer which launched its online business in 2000, and achieved marked increases in its e-brand awareness, web traffic and customer base. Company C was the first UK stand-alone internet bank created by a UK-based financial services company in 1998. It achieved a customer base of 550,000 within one year of operation, rising to 1.35 million by the end of 2000. Company D was an online business energy supplier,

Table 1 Background profile of company respondents

Nature of business	Size of company (no. employees)	Years of internet business	Turnover (last financial year)	Position of respondent
Online banking (clicks and mortar operation) company	≥500	≥5	≥£1bn	Internet Marketing Manager
Online retailing (internet only) company	≥500	≥5	£50–£99.9m	Marketing Manager
Online banking (internet only) company	≥500	2–5	£50–£99.9m	Marketing Manager
E-energy (internet only) company	1–50	1–2	£1–£49.9m	Marketing Director
Online travel (internet only) company	250–500	2–5	£50–£99.9m	Head of Marketing
Online retailing (internet only) company	1–50	≤1	≤£1m	Marketing Director
Online retailing (internet only) company	1–50	≤5	≤£1m	Marketing Director
Online travel (internet only) company	51–100	2–5	£1–£49.9m	Marketing Director
Online retailing (internet only) company	1–50	1–2	≤£1m	CEO
Online retailing (internet only) company	51–100	1–2	≤£1m	Marketing Manager
Online travel (internet only) company	101–250	2–5	£50–£99.9m	Marketing Manager
E-energy (internet only) company	101–250	1–2	£1–£49.9m	Marketing Manager
Online retailing (internet only) company	51–100	1–2	£50–£99.9m	Marketing Director
Online banking (internet only) company	51–100	1–2	£50-£99.9m	Marketing Manager
Online retailing (internet only) company	51–100	1–2	£50–£99.9m	Marketing Director

which had built up considerable brand cachet since its launch in 2000. At the time of the study, it had finalised plans to expand into Europe within a 12-month period. The discussion now turns to the substantive issues explored in the present research, ie e-branding perceptions, e-brand building and communication strategies, and their international aspects.

Perceptions of e-branding

Data obtained from the present research suggest a widespread appreciation of the need for e-branding among the responding internet companies (70 per cent), including the case study subsample. The following remark by the Marketing Director of Company D seems to capture the dominant viewpoint: 'We believe that the heart of this (successful internet marketing) is branding, creating a strong brand image and electronic identity has become the focus of our business development.' This probably stems from the perceived risks of the virtual 'cannot see it, cannot touch it' environment, reflecting one respondent's observation that 'e-brands play a vital role in building trust toward the company'.

Another key role of e-branding

Table 2 Profile of the case firms

	Sector/type of company	Founded	Major products/ services	Ownership	Performance indicator
A	A travel and entertainment internet start-up	October 1998	Online travel and entertainment solutions	Public	Became one of the most visited e-commerce sites in Europe, with registered subscribers of over 2.8 million; this figure rose nearly 8-fold in one year
B	A 'clicks and mortar' pharmacy retailer	January 2000	Health and beauty products/services; a wealth of information/advice on health and medical issues	Private	Marked increase in the company's e-brand awareness, web traffic and customer base
C	A stand-alone internet bank	October 1998	Banking and financial services	Public	Grew a customer base of 550,000 within one year; this rose to 1.35 million by the end of the second year. Its e-brand recognition also reached 88% in under 2 years
D	An internet-enabled business energy supplier	May 2000	Energy solutions; gas & electricity supplies/ services	Private	High e-brand recognition in the UK corporate energy sector; imminent European expansion planned within 12 months

highlighted by the majority of the responding companies was its ability to offer some defence against fierce competition in the internet environment. The interviewed source from Company B, for example, observed that emotional loyalty to the brand is needed for an internet company to stand out in the highly congested online environment. The earlier-mentioned Marketing Director, from Company D, also indicated that its brand value had been hugely important not only in keeping marketing costs down, but also in posing as a barrier to entry for potential competitors. A significant proportion of the responding firms similarly perceived high brand awareness and web visibility to be important in differentiating the company and its products, improving the company's economic value, facilitating emotional associations with customers and enhancing customer loyalty. It was also suggested that strong e-brands may be critical in ensuring the internet company's long-term survival and success in its market.

The foregoing reinforces previous notions of e-brands as trusted guardians that might help reduce customers' perceived risks while making purchase decisions in the face of little physical interaction with vendors in the virtual world.[126,127] The finding that branding offers some protection against competition also resonates with previous research that a strong e-brand

is thought to be able to shift the competitive dynamics in a company's favour, helping it to stand out and distinguish itself from its competitors, quickly generate site traffic and communicate its promises and values to its customers.[128,129]

E-brand building strategies

Case study evidence would appear to associate successful e-branding with a number of key strategies. These include initiating strategic partnerships and affiliations with important web portals and distributors (or 'metamediaries'); making appropriate levels of resource/financial investments; promoting and managing the website (including registering with major search engines, placing banner advertisements and adopting relevant best practice in web design); undertaking customer relationship management (including permission-based e-mail marketing); and ensuring superior delivery across a range of marketing mix areas.

Support for the importance of strategic partnerships and affiliations with important web portals and distributors was severally reported. Indeed, 70 per cent of the surveyed companies reported engaging in a number of online distribution and content placement partnerships with high-profile portals, internet service providers, content providers, internet shopping sites, e-shopping directories and specific industry sites, with a view to increasing their site traffic and enhancing their brand presence. Company A, for example, indicated developing strategic relationships with established internet companies, including Yahoo!, one of the leading online brands, with which it signed a major content and e-commerce deal; co-operating with online distribution partners, both locally and within Europe; and establishing affiliated partnerships, which encouraged participants to provide links to their website, by offering a percentage of any sales generated through affiliate traffic. Company B similarly reported initiating a strong brand building campaign, and selectively marketing its products, through affiliate networks/partnerships with primary health websites ISPs and portal websites such as Netdoctor.co.uk, NHS, AOL and Yahoo!. The affiliate programmes, which allowed third parties to receive commission for sales generated by customers that hyperlink to the company from third party sites, have helped the company to increase its e-brand/website awareness, while also driving up consumer traffic and its customer base. Further evidence of the importance of strategic partnerships came from Company C, which reported developing strategic partnerships with high-profile portals, including Yahoo! and Altavista, and a range of high street firms; and Company D, which indicated developing strategic business partnerships (with strategic relationships with internet service providers, small to medium-sized enterprises' related sites, and specific industrial sites), with a view to increasing brand awareness and enlarging its customer base.

The study companies also seemed to be considerably customer-focused, and had adopted a number of customer relationship management strategies. Survey data, indeed, suggest that half of the responding companies offered some form of customised products or

services, including personalised e-mails, in order to enhance their brand values and deliver satisfying customer experience. Company A, for example, reported engaging in permission-based e-mail marketing, and sending weekly e-newsletters to its approximately three million subscribers, as a way of promoting the brand and building relationships with its target customers. Similar direct and customised communication approaches seemed to have been utilised by Companies B (personalised e-mails and weekly newsletters) and D (regular, but low-cost, e-mails, telephone calls and weekly newsletters). The former's Managing Director, for example, underlined the company's emphasis on, not only communicating a message to an audience, but also building connections with customers and delivering on a one-to-one basis. There was also evidence of Company D's effort at offering customised services and building strong and trustful relationships with target customers. Taking the view that a strong relationship must be underpinned by proper understanding of customers' needs, wants, interests and concerns, this company had undertaken relevant research, and employed this in guiding its extensive customer care activities, website design (eg integrating cookies that detect the identity of the user upon log on and greeting them accordingly; allowing customers to have a personal account to record their deals and forecast electricity usage) and strengthening the security of its online utility bill payment system.

The importance of strong financial commitment to e-brand building was also highlighted by Companies A and C. Seemingly buoyed by the conventional wisdom of the dot.com era (the more a company spends on marketing and company development — as opposed to declaring a profit — the better its e-market position), Company A reportedly made huge financial investments towards building its distinctive, and subsequently successful, e-brand. Company B also, apparently, invested heavily in launching and developing its e-brand: an initial sum of £15m was reportedly committed to advertising campaigns, using online and traditional mass media channels.

It further emerged that the study companies generally focused their e-brand building efforts on enhancing public awareness of their brand and enlarging their customer base, through consistently developing their site attributes. This is particularly the case with Companies A, B and D, which invested a significant amount of effort in the design and promotion of their websites. Underlining its Managing Director's remark that 'the brand starts at the site', Company B appeared to have developed a website characterised by such valued internet marketing attributes as *community* (interactive exchanges, prompt feedback and enhanced communication); *trust/privacy/security* (secure server, protection of customer details, third party certification etc); *convenience* (24/7 service, easy navigation and rapid response fulfilment/delivery system); *customer care* (customer-centric, personalised, services, enriched customer experience etc); and *good product selection* (a wide product range, comparable to high street pharmacy operations). Companies D and C also reported building an online community, which facilitated customer convenience, security, relationship

building, interactive/supportive communication, networking and word-of-mouth marketing (eg registered users were identified upon log on to D's website and greeted accordingly).

The study companies had further undertaken specific activities to promote site visibility and drive web traffic. These activities included registering with main search engines (Companies A and D); placing banner advertisements with several high traffic sites (A and D); undertaking complementary offline advertisements (A, D and C); developing a simple, memorable and catchy domain name, carefully chosen, based on extensive research, to help recall and maximise repeat customers (C); using viral marketing techniques, which encouraged websites or users to pass on a marketing message to other sites or users, creating a potentially exponential growth in the message's visibility and effect; offering a good breadth of competitively priced products; and leveraging the company's favourable reputation (A, as the home of short notice deals on the internet, and C as an innovative 'first-mover').

Overall, these findings suggest the importance of collaborative strategies (directed at key industry players, customers, etc), resource investments and superior delivery across a range of marketing mix areas for building successful e-brands. They also, arguably, reflect the extant knowledge on the best practice for e-brand building, as embodied in previous work.[130–137]

Brand communication strategies

Survey data suggest a widespread adoption of both offline and online strategies in promoting e-brands and communicating brand values among the study internet firms. More specifically, registration with main search engines (100) was found to be the most commonly used vehicle, followed by online banner advertisements (75 per cent), email marketing (75 per cent), traditional advertisements (45 per cent), affiliate programme (40 per cent), co-branding (28 per cent), and public relations activities (13 per cent). Viral marketing also emerged as increasingly important. Further analysis revealed that in addition to being the most commonly employed, registration with major portals was also perceived as the most effective method of increasing site visibility. E-mail marketing and online banner advertisements, with equally high observed adoption rates, however, showed varying levels of perceived effectiveness; banner advertisements' effectiveness seemed to have waned substantially. On the other hand, affiliate programmes, co-branding and viral marketing, with generally modest adoption levels, emerged as very effective brand promotion tools. So was word-of-mouth communication. Finally, probably owing to internet users' concerns about disclosing their personal details on the net, online loyalty/affinity programmes (ie site membership schemes) turned out to be the least popular and least effective of the brand communication methods examined.

Evidence from the case firms generally reinforced the above survey findings, particularly with respect to their complementary use of offline and online brand communication strategies. The Head of Marketing of Company A, for example, highlighted judicious use of online and offline marketing communication initiatives, in-

cluding customer-centric advertising campaigns, cooperating with established traditional companies to jointly promote their brands (eg placing the e-brand name on 50 million bars of Nestlé chocolate and Kronenbourg beer), encouraging opinion formers to spread the word and applying advanced software to reach customers with targeted messages. Company D similarly employed a combination of online and offline promotional approaches, including advertising in traditional media channels and selected internet sites, registering with major online portals, co-branding with well-known offline companies, effective management of public/media relations, presence at industry exhibitions and leveraging of celebrity endorsements. It further emerged that Companies B and C had complemented their earlier-discussed online strategies with targeted advertisements in traditional media channels; the latter also reported utilising direct marketing techniques, including door-to-door brochures.

These findings, taken together, suggest that an integrated marketing perspective is just as relevant in enhancing communication effectiveness for e-brands as it is widely considered to be for more traditional brands.[138–144]

International e-branding

Evidence suggests some appreciation of the opportunities offered by the internet for spawning e-brands into international brands among the study firms. A few would appear to have taken major steps towards internationalising their e-brands, with most of the others emphasising their intentions to grow through 'international penetration' or 'international expansion' in the future. These firms highlighted forging alliances and 'affinity relationships' with foreign partners as important brand growth strategies, noting their potentially favourable implications for joint promotions and building international e-brand awareness in an efficient and sustainable manner. One of the case companies, A, would appear to have taken this collaborative route in increasing the visibility and awareness of its brand internationally. It reportedly had established strategic relationships with distribution partners in key European markets, including France, Germany, Sweden, Italy, Spain and The Netherlands; it had also entered into a joint venture arrangement in Australia. This growing multinational presence seemed to have afforded the company the opportunity to develop and further strengthen its brand. It further emerged that Companies B and D, having observed some increase in international traffic to their sites, planned to go into similar strategic linkages with local internet companies or portals in other European markets to improve further their international e-brand presence and overall customer base.

Another point that emerged from the study was the perceived importance of an appropriate level of *brand localisation within the international marketspace*. The respondents considered the principle of 'think global, act local' to be highly relevant in the internationalisation of e-brands, stating that international e-brand builders must be sensitive to the peculiarities of national markets, and must adapt to local tastes, cultures and sensibilities. As one respondent observed, 'our company caters to par-

ticular national audiences by setting up national portals and developing local language sites. In addition, our site content is designed to meet local needs'. Another company, A, also appeared to have developed localised versions of its website in most of its international markets. The Head of its Marketing Department explained the company's international branding strategy thus 'it is important that the content of each site has local significance … [but] consistent branding across the sites is vital for [the] company to build brand recognition on a truly international [scale]'.

The foregoing evidence is consistent with the dominantly held view that local adaptation — content, language, currency, and so on — is generally needed to strengthen brand identification among international customers,[145] and that high-quality service delivery and consistent fulfilment of customer promise across markets are fundamental to boosting e-brands' reputations globally.[146,147]

SUMMARY, CONCLUSIONS AND RECOMMENDATIONS

This study has drawn upon a sample of UK-based internet companies to examine perceptions of e-branding, and the online and offline strategies adopted by these firms in building and promoting their e-brands in local and international markets. It contributes by providing rare empirical insights into the e-branding phenomenon, which complement the previous, mainly anecdotal, best practice literature. Analysis results point to a generally high level of appreciation of the importance of e-branding among the internet companies, and the preponderant adoption of a range of collaborative and customer-centric strategies for developing e-brands. These activities include co-branding and affiliating with established online and offline brands, distribution partnerships, content alliances and deploying customised products/services and personalised e-mails.

It also emerged that the study companies employed a variety of tools, ranging from conventional mass media (radio, newspapers, magazines, television, public relations, trade events and promotions) to leading-edge online tools (affiliate programmes with other websites, e-mail notifications, banner advertisements etc) to raise awareness of their online platforms, build site visibility and communicate their brand values. These instruments were perceived to have yielded varying levels of effectiveness in communicating e-brand values: online banner advertisements and online loyalty programmes were considered less effective than registration with high-profile portals, positive word of mouth, building online distribution alliances, viral marketing and public relations. Specifically, registration with main portals was found to be an effective way of creating strong e-brand visibility; positive word of mouth was perceived as critical in generating customer trust and shaping e-brand reputation; alliances seemed particularly helpful in multiplying customer touch points; while viral marketing reportedly takes creative advantage of internet forwarding technology to widen brand presence at a lower cost. This last point also applies to press releases and public relation campaigns.

The study also found that, although the four internet companies had largely focused their brand building efforts on

the UK market, a few had established, or planned to establish, a meaningful presence in global markets, through strategic alliances, distribution partnerships and joint ventures. They also seemed to have taken the appropriate approach in regard to the rather challenging task of adapting their brands to suit local needs in overseas markets, without compromising service quality standards and consistency of image across international markets.

These summary findings, originating as they do from mostly successful e-brand owners, contain some tentative lessons for other companies wishing to develop their e-brands in the internet environment. They also raise a number of managerial and future research implications, which are now briefly addressed.

Create sustainable e-brands through fostering customer loyalty

Retaining and engaging customers and fostering customer loyalty are crucial to the process of crafting powerful e-brands and achieving sustainable competitiveness in the 21st century's highly competitive e-marketplaces. Generating site traffic and attracting new customers are great but no longer enough. Internet companies, thus, need to shift their e-branding focus towards building a loyal customer base. Among the steps that might be helpful to companies embarking on this process are developing greater understanding of their online customers, through effective data capturing and mining techniques; creating an online community, which facilitates interactions among customers, enabling them to deepen their experiences and build a more personal connection with the online platform/e-brand; engendering site 'stickness' and repeat visits through winning content and convenience;[148,149] and reinforcing customer loyalty by consistent fulfilment and delivery of promises.

Establish an effective e-brand communication system

Greater effectiveness in communicating e-brand values and deepening company–customer understanding might be achieved through a more interactive and focused e-brand communication approach, which targets the right customer group with clearly specified objectives and a rich array of marketing tools. This might involve the following three logical steps: determining specific communication objectives, identifying target customers and understanding their preferred communication methods and selecting appropriate marketing tools to communicate with the focal groups.

Develop an international e-brand

Active exploration of overseas market opportunities and rapid internationalisation of e-brands are increasingly becoming imperative for growth-seeking internet companies. Success in these respects could yield numerous strategic benefits, including an enlarged customer base, 'early-mover' advantages and global brand presence at a lower cost. Internet companies must be prepared, however, to grapple with the challenges of building global e-brands, such as variations in local requirements, languages, logistical and infrastructural systems etc. Among the strategies for managing these challenges are developing strategic relationships,

including co-branding, joint venturing and distribution partnerships with appropriately selected actors in international markets.

Limitations and future research

There are a number of limitations in the context of which the present study's main conclusions should be viewed. These stem mainly from time and cost constraints, which did not allow the collection of a larger and more rigorously selected sample. Future researchers should aim to improve upon this effort. More research is, indeed, required into the e-branding phenomenon given that it is relatively recent, and the overall paucity of research on the topic. Suggested areas of future research include exploring the level of importance of e-branding in the B2B sector, comparing the impact of e-branding on the performance of conventional companies and virtual companies, and examining e-branding in different cultural settings.

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